effect on competition, investment, or innovation. Commenters are requested to provide empirical data and other factual support for their views, to the extent possible.

VI. Regulatory Flexibility Act Certification

The Regulatory Flexibility Act ("RFA")[795] requires Federal agencies, in promulgating rules, to consider the impact of those rules on small entities. Section 603(a)[796] of the Administrative Procedure Act,[797] as amended by the RFA, generally requires the Commission to undertake a regulatory flexibility analysis of all proposed rules, or proposed rule amendments, to determine the impact of such rulemaking on "small entities."[798] Section 605(b) of the RFA states that this requirement shall not apply "to any proposed or final rule if the head of the agency certifies that the rule will not, if promulgated, have a significant economic impact on a substantial number of small entities."[799]

The proposed amendments to the CAT NMS Plan would only impose requirements on national securities exchanges registered with the Commission under Section 6 of the Exchange Act and FINRA. With respect to the national securities exchanges, the Commission's definition of a small entity is an exchange that has been exempt from the reporting requirements of Rule 601 of Regulation NMS, and is not affiliated with any person (other than a natural person) that is

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795 5 U.S.C. 601 et seq.

796 5 U.S.C. 603(a).

797 5 U.S.C. 551 et seq.

798 The Commission has adopted definitions for the term "small entity" for purposes of Commission rulemaking in accordance with the RFA. Those definitions, as relevant to this proposed rulemaking, are set forth in 17 CFR 240.0-10. See Securities Exchange Act Release No. 18451 (January 28, 1982), 47 FR 5215 (February 4, 1982) (File No. AS-305).

799 5 U.S.C. 605(b).

not a small business or small organization.[800] None of the national securities exchanges registered under Section 6 of the Exchange Act that would be subject to the proposed amendments are "small entities" for purposes of the RFA. In addition, FINRA is not a "small entity."[801] For these reasons, the proposed rule will not apply to any "small entities." Therefore, for the purposes of the RFA, the Commission certifies that the proposed amendments would not have a significant economic impact on a substantial number of small entities.

The Commission requests comment regarding this certification. In particular, the Commission solicits comment on the following:

220. Do commenters agree with the Commission's certification that the proposed amendments would not have a significant economic impact on a substantial number of small entities? If not, please describe the nature of any impact on small entities and provide empirical data to illustrate the extent of the impact.

VI. Statutory Authority and Text of the Proposed Amendments to the CAT NMS Plan

Pursuant to the Exchange Act and, particularly, Sections 2, 3(b), 5, 6, 11A(a)(3)(B), 15, 15A, 17(a) and (b), 19 and 23(a) thereof, 15 U.S.C. 78b, 78c(b), 78e, 78f, 78k-1, 78o, 78o-3, 78q(a) and (b), 78s, 78w(a), and pursuant to Rule 608(a)(2) and (b)(2),[802] the Commission proposes to amend the CAT NMS Plan in the manner set forth below.

Additions are <u>underlined</u>; deletions are [bracketed].

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800 <u>See</u> 17 CFR 240.0-10(e).

801 <u>See</u> 13 CFR § 121.201

802 17 CFR 242.608(a)(2) and (b)(2). These provisions enable the Commission to propose amendments to any effective NMS Plan by "publishing the text thereof, together with a statement of the purpose of such amendment," and providing "interested persons an opportunity to submit written comments."

Section 1.1. Definitions. As used throughout this Agreement (including, for the avoidance of doubt, the Exhibits, Appendices, Attachments, Recitals and Schedules identified in this Agreement):

* * * * *

"[Customer]Account [Information]Attributes" shall include, but not be limited to, [account number,] account type, customer type, date account opened, and large trader identifier (if applicable); except, however, that (a) in those circumstances in which an Industry Member has established a trading relationship with an institution but has not established an account with that institution, the Industry Member will (i) provide the Account Effective Date in lieu of the "date account opened"[; (ii) provide the relationship identifier in lieu of the "account number";] and ([i]ii) identify the "account type" as a "relationship"; (b) in those circumstances in which the relevant account was established prior to the implementation date of the CAT NMS Plan applicable to the relevant CAT Reporter (as set forth in Rule 613(a)(3)(v) and (vi)), and no "date account opened" is available for the account, the Industry Member will provide the Account Effective Date in the following circumstances: (i) where an Industry Member changes back office providers or clearing firms and the date account opened is changed to the date the account was opened on the new back office/clearing firm system; (ii) where an Industry Member acquires another Industry Member and the date account opened is changed to the date the account was opened on the post-merger back office/clearing firm system; (iii) where there are multiple dates associated with an account in an Industry Member's system, and the parameters of each date are determined by the individual Industry Member; and (iv) where the relevant account is an Industry Member proprietary account.

* * * * *

"CAIS" refers to the Customer and Account Information System within the CAT System that collects and links Customer-ID(s) to Customer and Account Attributes and other identifiers for queries by Regulatory Staff.

"CAIS/CCID Subsystem Regulator Portal" refers to the online tool enabling Manual CAIS access and Manual CCID Subsystem access.

* * * * *

"CCID Subsystem" refers to the subsystem within the CAT System which will create the Customer-ID from a Transformed Value(s), as set forth in Section 6.1(v) and Appendix D, Section 9.1.

"CCID Transformation Logic" refers to the mathematical logic identified by the Plan Processor that accurately transforms an individual tax payer identification number(s)(ITIN(s))/social security number(s)(SSN(s))/Employer Identification Number (EIN(s)) into a Transformed Value(s) for submission into the CCID Subsystem, as set forth in Appendix D, Section 9.1.

* * * * *

"Comprehensive Information Security Program" includes the organization-wide and system-specific controls and related policies and procedures required by NIST SP 800-53 that address information security for the information and information systems that support the operations of the Plan Processor and the CAT System, including those provided or managed by an external organization, contractor, or source, inclusive of Secure Analytical Workspaces.

* * * * *

"Customer and Account Attributes" shall mean the data elements in Account Attributes and Customer Attributes.

* * * * *

"Customer [Identifying Information] Attributes" means information of sufficient detail to identify a Customer, including, but not limited to, (a) with respect to individuals: name, address, [date] year of birth, [individual tax payer identification number ("ITIN")/social security number ("SSN")], individual's role in the account (e.g., primary holder, joint holder, guardian, trustee, person with the power of attorney); and (b) with respect to legal entities: name, address, Employer Identification Number ("EIN"), and [/]Legal Entity Identifier ("LEI") or other comparable common entity identifier, if applicable; provided, however, that an Industry Member that has an LEI for a Customer must submit the Customer's LEI in addition to other information of sufficient detail to identify a Customer.

* * * * *

"Customer Identifying Systems" means CAIS and the CCID Subsystem.

* * * * *

"Customer Identifying Systems Workflow" describes the requirements and process for accessing Customer Identifying Systems as set forth in Appendix D, Data Security.

* * * * *

"Manual CAIS Access" when used in connection with the Customer Identifying Systems Workflow, as defined in Appendix D, shall mean the Plan Processor functionality to manually query CAIS, in accordance with Appendix D, Data Security, and the Participants' policies as set forth in Section 6.5(g).

* * * * *

"Manual CCID Subsystem Access" when used in connection with the Customer Identifying Systems Workflow, as defined in Appendix D, shall mean the Plan Processor

functionality to manually query the CCID Subsystem, in accordance with Appendix D, Data Security, and the Participants' policies as set forth in Section 6.5(g).

* * * * *

["PII" means personally identifiable information, including a social security number or tax identifier number or similar information; Customer Identifying Information and Customer Account Information.]

* * * * *

"Programmatic CAIS Access" when used in connection with the Customer Identifying Systems Workflow, as defined in Appendix D, shall mean the Plan Processor functionality to programmatically query, and return results that include, data from the CAIS and transactional CAT Data, in support of the regulatory purpose of an inquiry or set of inquiries, in accordance with Appendix D, Data Security, and the Participants' policies as set forth in Section 6.5(g).

"Programmatic CCID Subsystem Access" when used in connection with the Customer Identifying Systems Workflow, as defined in Appendix D, shall mean the Plan Processor functionality to programmatically query the CCID Subsystem to obtain Customer-ID(s) from Transformed Value(s), in support of the regulatory purpose of an inquiry or set of inquiries, in accordance with Appendix D, Data Security, and the Participants' policies as set forth in Section 6.5(g).

* * * * *

"Regulatory Staff" means the Participant's Chief Regulatory Officer (or similarly designated head(s) of regulation) and staff within the Chief Regulatory Officer's (or similarly designated head(s) of regulation's) reporting line. In addition, Regulatory Staff must be specifically identified and approved in writing by the Chief Regulatory Officer (or similarly designated head(s) of regulation).

* * * * *

"Secure Analytical Workspace" or "SAW" means an analytic environment account that is part of the CAT System, and subject to the Comprehensive Information Security Program, where CAT Data is accessed and analyzed by Participants pursuant to Section 6.13. The Plan Processor shall provide a SAW account for each Participant that implements all common technical security controls required by the Comprehensive Information Security Program.

* * * * *

"Secure File Sharing" means a capability that allows files to be extracted and shared outside of the SAW in a manner consistent with the provisions of Section 6.13(a)(i)(D).

* * * * *

"Transformed Value" refers to the value generated by the CCID Transformation Logic, as set forth in Section 6.1(v) and Appendix D, Section 9.1.

* * * * *

Section 4.12. Subcommittees and Working Groups.

* * * * *

(c) The Operating Committee shall establish and maintain a security working group composed of the Chief Information Security Officer, and the chief information security officer or deputy chief information security officer of each Participant (the "Security Working Group"). Commission observers shall be permitted to attend all meetings of the Security Working Group, and the CISO and the Operating Committee may invite other parties to attend specific meetings. The Security Working Group's purpose shall be to advise the Chief Information Security Officer (who shall directly report to the Operating Committee in accordance with Section 6.2(b)(iii)) and the Operating Committee, including with respect to issues involving:

(i) information technology matters that pertain to the development of the CAT System;

(ii) the development, maintenance, and application of the Comprehensive Information Security Program;

(iii) the review and application of the confidentiality policies and procedures required by Section 6.5(g);

(iv) the review and analysis of third party risk assessments conducted pursuant to Section 5.3 of Appendix D, including the review and analysis of results and corrective actions arising from such assessments; and

(v) emerging cybersecurity topics.

The Chief Information Security Officer shall apprise the Security Working Group of relevant developments and provide it with all information and materials necessary to fulfill its purpose.

* * * * *

Section 6.1. Plan Processor.

* * * * *

(d) The Plan Processor shall:

* * * * *

(v) provide Secure Analytical Workspaces in accordance with Section 6.13.

* * * * *

(v) The Plan Processor shall develop, with the prior approval of the Operating Committee, the functionality to implement the process for creating a Customer-ID(s), consistent with this Section and Appendix D, Section 9.1. With respect to the CCID Subsystem, the Plan Processor shall develop functionality to:

(i) Ingest Transformed Value(s) and any other required information and convert the Transformed Value(s) into an accurate and reliable Customer-ID(s);

(ii) Validate that the conversion from the Transformed Value(s) to the Customer-ID(s) is accurate; and

(iii) Transmit the Customer-ID(s), consistent with Appendix D, Section 9.1, to CAIS or a Participant's SAW.

* * * * *

Section 6.2. Chief Compliance Officer and Chief Information Security Officer.

(a) Chief Compliance Officer.

* * * * *

(v) The Chief Compliance Officer shall:

* * * * *

(H) regularly review the Comprehensive I[i]nformation S[s]ecurity P[p]rogram developed and maintained by the Plan Processor pursuant to Section 6.12 and determine the frequency of such reviews;

* * * * *

(Q) oversee the Plan Processor's compliance with applicable laws, rules and regulations related to the CAT system, in its capacity as Plan Processor[.];

(R) in collaboration with the Chief Information Security Officer, review the Participants' policies developed pursuant to Section 6.5(g)(i), and, if the Chief Compliance Officer, in consultation with the Chief Information Security Officer, finds that such policies are inconsistent with the requirements of the Plan, notify the Operating Committee of such deficiencies;

(S) in collaboration with the Chief Information Security Officer, determine, pursuant to Section 6.13(d), whether a Participant should be granted an exception from Section 6.13(a)(i)(B) and, if applicable, whether such exception should be continued; and

(T) as required by Section 6.6(b)(ii)(B)(3), in collaboration with the Chief Information Security Officer, review CAT Data that has been extracted from the CAT System to assess the security risk of allowing such CAT Data to be extracted.

(b) Chief Information Security Officer.

* * * * *

(v) Consistent with Appendices C and D, the Chief Information Security Officer shall be responsible for creating and enforcing appropriate policies, procedures, and control structures to monitor and address data security issues for the Plan Processor and the Central Repository including:

* * * * *

(F) [PII] Customer and Account Attributes data requirements, including the standards set forth in Appendix D, [PII Data Requirements] Customer Identifying Systems Requirements and Customer Identifying Systems Workflow;

* * * * *

(viii) In collaboration with the Chief Compliance Officer, the Chief Information Security Officer shall review the Participants' policies developed pursuant to Section 6.5(g)(i). If the Chief Information Security Officer, in consultation with the Chief Compliance Officer, finds that such policies are inconsistent with the requirements of the Plan, they will be required to notify the Operating Committee of such deficiencies.

(ix) In collaboration with the Chief Compliance Officer, the Chief Information Security Officer shall determine, pursuant to Section 6.13(d), whether a Participant should be granted an exception from Section 6.13(a)(i)(B) and, if applicable, whether such exception should be continued.

(x) As required by Section 6.6(b)(ii)(B)(3), in collaboration with the Chief Compliance Officer, review CAT Data that has been extracted from the CAT System to assess the security risk of allowing such CAT Data to be extracted.

* * * * *

Section 6.4. Data Reporting and Recording by Industry Members.

* * * * *

(d) Required Industry Member Data.

* * * * *

(ii) Subject to Section 6.4(c) and Section 6.4(d)(iii) with respect to Options Market Makers, and consistent with Appendix D, Reporting and Linkage Requirements, and the Technical Specifications, each Participant shall, through its Compliance Rule, require its Industry Members to record and report to the Central Repository the following, as applicable ("Received Industry Member Data" and collectively with the information referred to in Section 6.4(d)(i) "Industry Member Data"):

* * * * *

(C) for original receipt or origination of an order and Allocation Reports, the Firm Designated ID for the relevant Customer, and in accordance with Section 6.4(d)(iv), Customer and Account Attributes [Information and Customer Identifying Information] for the relevant Customer[.]; and

(D) for all Customers with an ITIN/SSN/EIN, the Transformed Value.

* * * * *

Section 6.5. Central Repository.

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(b) Retention of Data

* * * * *

(i) Consistent with Appendix D, Data Retention Requirements, the Central Repository shall retain the information collected pursuant to paragraphs (c)(7) and (e)(7) of SEC Rule 613 in a convenient and usable standard electronic data format that is directly available and searchable electronically without any manual intervention by the Plan Processor for a period of not less than six (6) years. Such data when available to the Participant's R[r]egulatory S[s]taff and the SEC shall be linked.

* * * * *

(f) Data Confidentiality

(i) The Plan Processor shall, without limiting the obligations imposed on Participants by this Agreement and in accordance with the framework set forth in, Appendix D, Data Security, and Functionality of the CAT System, be responsible for the security and confidentiality of all CAT Data received and reported to the Central Repository. Without limiting the foregoing, the Plan Processor shall:

* * * * *

(C) develop and maintain a C[c]omprehensive I[i]nformation S[s]ecurity P[p]rogram with a dedicated staff for the [Central Repository, consistent with Appendix D, Data Security] CAT System, that employs state of the art technology, which program will be regularly reviewed by the Chief Compliance Officer and Chief Information Security Officer;

* * * * *

(ii) [Each Participant shall adopt and enforce policies and procedures that:

(A) implement effective information barriers between such Participant's regulatory and non-regulatory staff with regard to access and use of CAT Data stored in the Central Repository;

(B) permit only persons designated by Participants to have access to the CAT Data stored in the Central Repository; and

(C) impose penalties for staff non-compliance with any of its or the Plan Processor's policies or procedures with respect to information security.

(iii) Each Participant shall as promptly as reasonably practicable, and in any event within 24 hours, report to the Chief Compliance Officer, in accordance with the guidance provided by the Operating Committee, any instance of which such Participant becomes aware of: (A) noncompliance with the policies and procedures adopted by such Participant pursuant to Section 6.5(e)(ii); or (B) a breach of the security of the CAT.

(iv)] The Plan Processor shall:

* * * * *

(B) require the establishment of secure controls for data retrieval and query reports by Participants' R[r]egulatory S[s]taff; and

* * * * *

([v]iii) The Company shall endeavor to join the FS-ISAC and comparable bodies as the Operating Committee may determine.

(g) Participants' Confidentiality Policies and Procedures.

(i) The Participants shall establish, maintain and enforce identical written policies [and procedures] that apply to each Participant. Each Participant shall establish, maintain and enforce procedures and usage restriction controls in accordance with these policies. The policies must: